

The stock made its way higher to almost 20 and then retraced back to just below my buy price in April, but I hung in there.

If you look at the chart of the stock going back to November 2010, you'll see a cloudbank pattern starting then and lasting for 2 years. That cloudbank provided the exit signal with a cloud base of 20.

For the sale, which I show as E, I wrote this in my notebook: "9 January 2018. S&P says strong sell as of 3 January 2018. Everything is negative: value, quality, growth, financial health, price momentum. Other analysts are red [bearish], too. Dump this? Insiders are holding onto shares, though. Cloudbank is at 20, so [the stock is] right there, at the base.

"Sell reason: This didn't go anywhere this past year, but what scares the willy out of me is the negative analyst view. So I'm going to let it all go. Sell reason: Hit cloudbank base."

On this trade I made 35%.

- Lesson: I was late buying into the trade, both in time and price. The turn at bottoms is often V-shaped, whereas peaks are more rounded-looking. Try to improve the entry.

The stock continued higher, in large up-and-down swings, eventually reaching 36.70 in February 2020 (which was above the 22 to 25 target of this trade).

Sample Trade

[Figure 69.5](#) shows a trade Dave made in the stock. I have the V-bottom starting its decline from point A as the chart shows (but the V might really start at D. Your choice).

Price paused once at D before resuming a steep and fast drop to B. The height of the V-bottom is A–B or $114.55 - 89.05$ or 25.50.

If Dave were to buy the stock at the bottom, he could make \$25 a share in about a month, providing the stock recovered as fast as it dropped. That's rare. We've seen in this book that price drops twice as fast as a rises, so a good hold time would be 2 months. Of course, to make that kind of gain